

ZEBRA TECHNOLOGIES SECOND-QUARTER 2016 RESULTS

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Second-Quarter 2016 Highlights

- Adjusted sales of \$882M, flat to 2Q15 in constant currency
 - Enterprise segment increase driven by growth in mobile computing and data capture
 - Pre-transaction Zebra sales decrease primarily driven by lower sales of barcode printers and location solutions
 - Difficult comparison to a strong 2Q15
 - Continued trend of certain customers pushing purchase decisions to future quarters
- North America sales flat to prior year period
- Continued strong year-over-year sales results in Asia-Pacific led by China
- Lower sales in EMEA and Latin America from prior year period
- Non-GAAP EPS of \$1.34 vs. \$1.03 in 2Q15
 - Stronger gross margin
 - Lower operating expenses
 - Favorable Q2 tax impact
- Proactive response to challenging environment
 - Targeted programs to invigorate channel business
 - Launch of new channel partner program



Second-Quarter P&L Summary⁽¹⁾

In millions, except per share data	2Q16	2Q15	Change
Adjusted Net Sales ⁽²⁾	\$882	\$894	(0.3)% ⁽³⁾
Adj. Gross Margin (%) ⁽²⁾	46.4%	44.5%	190 bps
Adj. EBITDA	\$144	\$131	9.9%
Adj. EBITDA Margin (%)	16.3%	14.6%	170 bps
Adjusted diluted EPS ⁽⁴⁾	\$1.34	\$1.03	30.1%

- **Adj. Net Sales approx. flat⁽³⁾**
 - Enterprise sales up 1%⁽³⁾
 - Pre-transaction Zebra sales down 3%⁽³⁾
- **Regional breakdown**
 - North America approx. flat
 - EMEA down 4%⁽³⁾
 - Asia Pacific up 10%⁽³⁾
 - Latin America down 4%
- **Adj. EBITDA margin improvement**
 - Higher gross margin
 - Lower operating expenses

1. Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results
2. Excludes purchase accounting adjustments
3. Assumes constant FX to 2015
4. Tax adjustments and estimation changes had approximately \$0.14 positive impact in 2Q16

Balance Sheet and Cash Flow

Liquidity

- \$141M in cash as of 2Q16, with \$116M outside the U.S.
- Tax efficient repatriation of excess foreign cash in 2016
- Undrawn \$250M revolver; no financial covenant unless >\$50M draw down
- Reducing required minimum operating cash on hand this year through Enterprise integration initiatives

Long-Term Debt

- \$2.9B in long-term debt; financed the Oct. 2014 Enterprise acquisition
- \$145M of principal payments in 1H16
- Net-debt-to-adjusted-EBITDA ratio of ~ 4.5x as of 2Q16

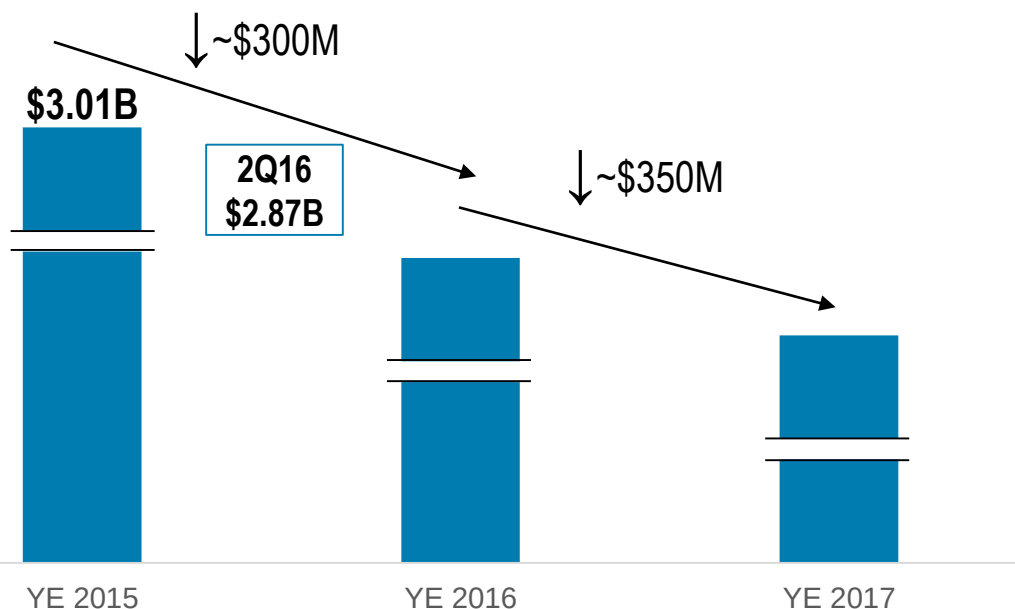
Cash Flow

- Primary drivers of 2016 cash flow improvement:
 - Working capital initiatives
 - Lower integration and restructuring costs
 - Lower non-integration capital expenditures
 - EBITDA improvement

Debt Reduction is Top Priority

Financed October 2014 Enterprise acquisition with \$3.25B of debt

Total Debt



Cash & Cash Equivalents



Net-Debt-to-Adjusted EBITDA

2x-3x
Target Range



2016 Outlook

3Q16

- Net sales (3)% to 0% vs. 3Q15, representing (2)% to +1% in constant currency
- Adj. EBITDA margin ~ 17%
- Adj. EPS of \$1.30-\$1.50

FY16

- Net sales (3)% to +1% vs. FY15, representing (2)% to +2% growth in constant currency
- Adjusted EBITDA margin ~17%, improvement over FY15

FY16 Assumptions

- Interest expense of \$190-195M
 - Amortization of debt issuance costs of \$21-22M
- Stock-based compensation expense of \$27-29M
- Non-GAAP tax rate ~20%
- Cash taxes of \$50-60M
- Capital expenditures of \$70-75M
- Depreciation & amortization of \$310-315M

Focused on Strategic Priorities in 2016

Deliver Profitable Growth

- Our technology is vital as customers pursue their strategic goals
- Leverage expertise and expand vertical presence
- Continued focus on innovation and new product introductions
- Improve performance in the services business

Realize Cost Synergies

- Realize \$50M of incremental cost synergies in 2016
- Improve EBITDA margin
- Prudently manage costs

De-lever the Balance Sheet

- Improve free cash flow and lower operating cash levels
- Debt reduction of \$300M in 2016 to continue to de-lever capital structure

Operate as One Zebra

- Build on global brand strength
- Continued planning and execution on Enterprise integration, including IT systems
- New channel partner program

Zebra: Global Leader of Enterprise Asset Intelligence

Providing the smart, visionary solutions to see the big picture



Zebra's innovative solutions **makes businesses smarter and more connected**, enabling real-time:

- Visibility into people and things;
- Analysis of operational data; and
- Critical insights and knowledge to act on.

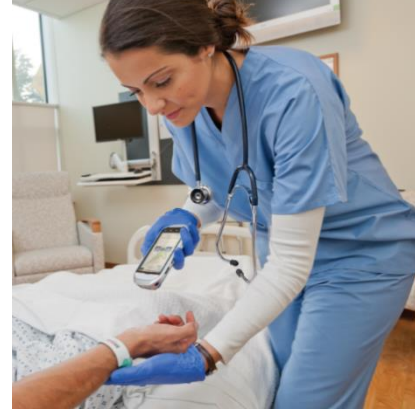
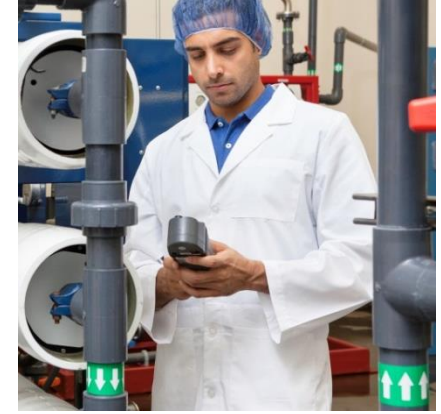
“Visibility That’s Visionary”

Enabling Visibility Across Verticals

Zebra makes businesses as smart and connected as the world we live in

**T&L**

**MOVE GOODS FASTER
AND MORE EFFICIENTLY****RETAIL**

**CREATE EXCEPTIONAL
BRAND EXPERIENCES****HEALTHCARE**

**STREAMLINE PATIENT CARE
AND IMPROVE OUTCOMES****MANUFACTURING**

**IMPROVE PRODUCTIVITY
AND ENHANCE QUALITY**

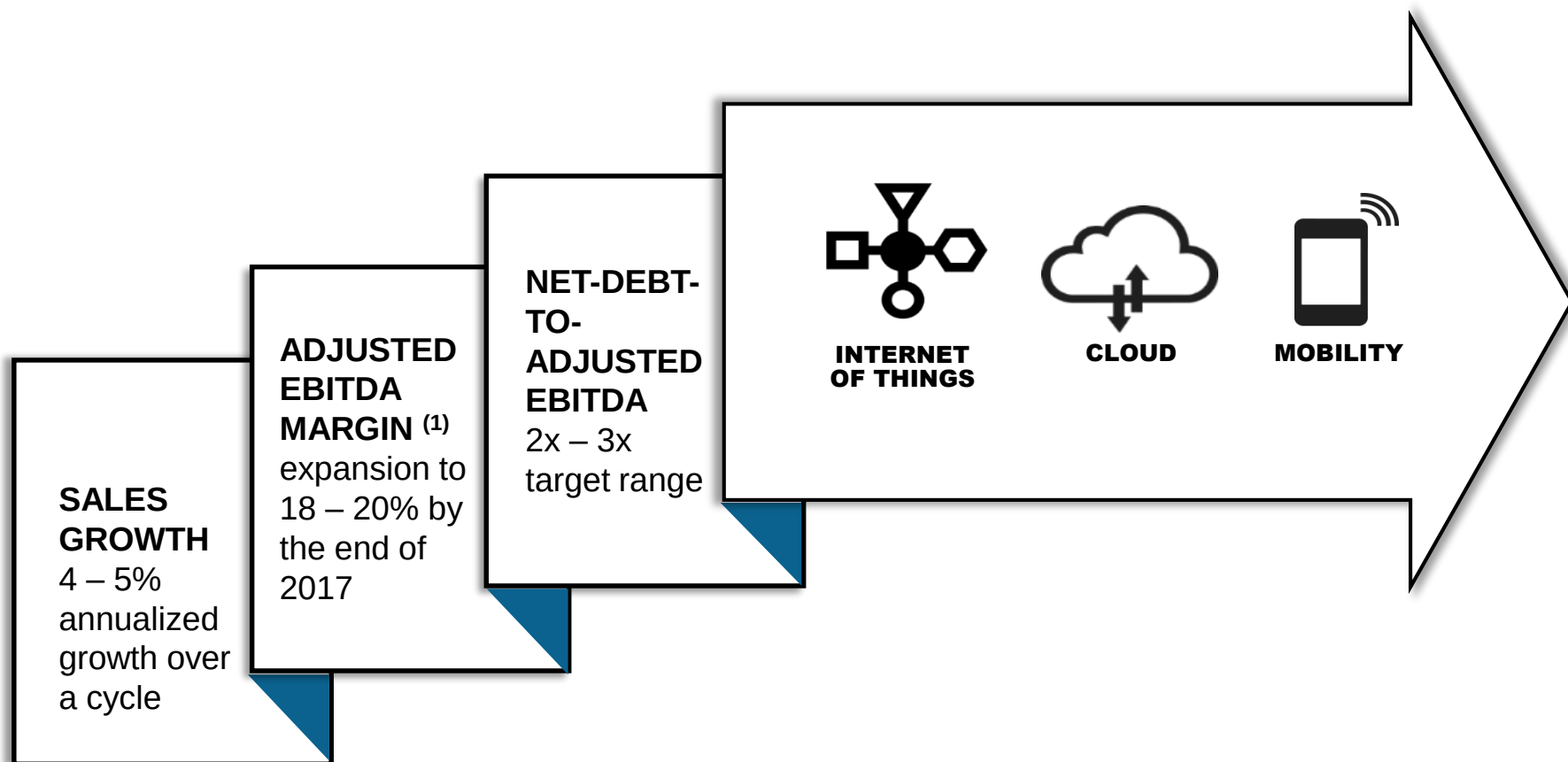
Simplify Operations

Empower Mobile Workers

**Know More About Your
Business and Customers**

Long-Term Outlook

Positioned for Success



1) Assumes no material change to the macroeconomic environment, or global currency exchange rate environment.



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QUESTIONS?



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APPENDIX

Reconciliation of GAAP to Non-GAAP Net Income

	Three Months Ended	
	July 2, 2016	July 4, 2015
Net (loss) income	\$ (49)	\$ (77)
Income tax expense (benefit)	\$ 15	\$ 24
Share-based compensation	\$ 3	\$ 9
Acquisition and integration costs	\$ 34	\$ 31
Exit and restructuring costs	\$ 5	\$ 18
Purchase accounting adjustments	\$ 3	\$ 5
Foreign exchange loss (income)	\$ 5	\$ (11)
Amortization of intangible assets	\$ 60	\$ 63
Amortization of debt issuance cost and discount	\$ 6	\$ 5
Forward interest rate swaps (income) expense	\$ (1)	\$ 2
Tax effects	\$ (11)	\$ (16)
Total adjustments	\$ 119	\$ 130
Non-GAAP net income	\$ 70	\$ 53
GAAP (loss) earnings per share		
Basic	\$ (0.95)	\$ (1.50)
Diluted	\$ (0.95)	\$ (1.50)
Non-GAAP earnings per share		
Basic	\$ 1.35	\$ 1.05
Diluted	\$ 1.34	\$ 1.03
Basic weighted average shares outstanding	51,533	50,917
Diluted weighted average and equivalent shares outstanding	52,115	51,735

GAAP to Non-GAAP Reconciliation

EBITDA Reconciliation	Three Months Ended	
	July 2, 2016	July 4, 2015
Operating (loss) income	\$ 22	\$ (14)
Depreciation	17	19
Amortization of intangible assets	60	63
EBITDA (non-GAAP)	<u>\$ 99</u>	<u>\$ 68</u>
Acquisition and integration costs	34	31
Purchase accounting adjustments	3	5
Exit and restructuring costs	5	18
Share-based compensation	3	9
Adjusted EBITDA (non-GAAP)	<u><u>\$ 144</u></u>	<u><u>\$ 131</u></u>
Adjusted EBITDA % of non-GAAP Sales	16.3%	14.6%

GAAP to Non-GAAP Reconciliation

(Amounts in millions)

ADJUSTED NET SALES DECLINE

**Three Months Ended
July 2, 2016**

Reported net sales decline	(1.2) %
Purchase accounting adjustments	(0.2) %
Exclusion of foreign currency translation impact	1.1 %
Adjusted net sales decline in constant currency	<u>(0.3) %</u>

ADJUSTED NET SALES BY SEGMENT

	Three Months Ended		Percent Change
	July 2, 2016	July 4, 2015	
Legacy Zebra	\$ 305	\$ 320	-4.7
Enterprise	577	574	0.5
Adjusted net sales	\$ 882	\$ 894	-1.3
Purchase accounting adjustments	(3)	(4)	
Reported net sales	<u>\$ 879</u>	<u>\$ 890</u>	-1.2